Type MS · Minimum wage: reasons, benefits and costs

Answer 1 of 10 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{5,601,185 - 5,541,075}{5,541,075} \times 100$ **(1)** **OR** $\frac{60,110}{5,541,075} \times 100$ **(1)** Award 1 mark for correct percentage change = 1.08% **(1)** Award 2 marks if percentage change is correctly calculated as 1.08%, even if no calculations are shown Award 1 mark if the answer given is 1.08 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 1 of 10 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • One factor that can affect the growth of firms is the desire to spread risks • By expanding its product range, Air Asia can reduce the risk because it is trading in different markets (risk-bearing economies of scale) • This means that if there is a problem in one market (such as travel insurance) it has other areas in which it can continue to trade • Therefore, the range of services, such as airport transfers and holiday packages, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Air Asia operates internationally, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Minimum wage: reasons, benefits and costs

Answer 1 of 10 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The minimum wage in Latvia rose from €620 to €700 per month in 2024, meaning that the increased income of employees should lead to a better standard of living • It may mean that employees are more motivated and could therefore lead to higher levels of productivity and so increased output for the firm • This increase in productivity could allow firms to offset the increase in wage costs • Employees could have more disposable incomes and be able to spend more in the economy, allowing the revenue of firms to increase • The rise in incomes would also lead to more tax being paid and so a greater revenue for the Latvian Government • This could be used to further benefit the economy in Latvia **AO4** • However, if firms cannot afford the increase in wage costs, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases, there may be less spending in the economy and less tax revenue for the government • This could mean that not only the firms directly affected by the minimum wage increase are worse off but also other firms and their employees if there is less demand for goods and services • As the percentage of the population being paid the minimum wage had fallen to 16%, the lowest in five years, it may not increase costs as much for firms in Latvia as it may have done when more people were paid the minimum wage, as the firms may already be paying employees more than €700/month

Type MS · Minimum wage: reasons, benefits and costs

Answer 1 of 10 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

	• It may depend on price elasticity of demand for the goods sold, whether firms can increase prices and/or whether an increase in productivity results • In the short term it may be more difficult for firms to cover higher wage costs but this may be easier in the long term if the economy has been boosted by the overall effects of the increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Minimum wage: reasons, benefits and costs

Answer 1 of 10 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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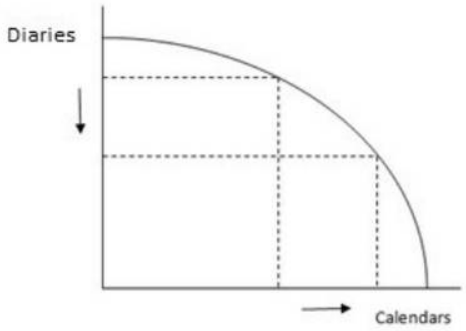
Type MS · Minimum wage: reasons, benefits and costs

Answer 2 of 10 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **A** Increased indirect taxes	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Luxury	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes Award 1 mark for showing a decrease in diaries on the PPF Award 1 mark for showing an increase in calendars on the PPF  	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 2 of 10 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A minimum wage sets the lowest wage which can legally be paid in Turkey • The Turkish Government increased the minimum wage by 538 TRY from 2018 to 2019 • This would further improve the incomes of the lowest paid workers in Turkey • By ensuring a higher income is paid, the government is attempting to provide a better lifestyle for people who previously struggled with basic needs • By increasing the minimum wage, the government is reducing its need to support low-paid workers and is pushing the responsibility onto employers

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Minimum wage: reasons, benefits and costs

Answer 2 of 10 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Internal economies of scale are reduced average costs enjoyed by firms that expand, such as airports • They can include bulk buying, marketing, technical, financial, managerial and risk-bearing • Istanbul's new airport will be able to handle 200 million passengers each year meaning it will need to buy seating for waiting areas in very large quantities. This means it may be able to benefit from bulk buying economies • The new airport might be able to benefit from technical economies of scale as the cost of installing equipment can be divided between each of six runways • Marketing economies could be spread amongst a high number of cafes and shops if they focus advertising on being located in the world's largest airport (which is bigger than Manhattan) • Risk-bearing economies could be enjoyed as if there is a problem with a runway, aircraft could be moved to one of five others **AO4** • However, if it becomes too large, Istanbul's new airport may suffer from diseconomies of scale, such as communication problems, leading to a rise in average costs • As the airport has not yet fully opened it may mean it has been built in stages and so furniture may not have been bought in such large quantities as to allow economies of scale to occur • Being so large could mean less care is taken during the installation of technical equipment. This could mean it needs to be repeated leading to additional costs • There is no guarantee that 200 million passengers will pass through the airport every year and so marketing economies may not result in the same benefits, especially if safety is a concern if there is a problem with a runway

Type MS · Minimum wage: reasons, benefits and costs

Answer 2 of 10 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Minimum wage: reasons, benefits and costs

Answer 2 of 10 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Minimum wage: reasons, benefits and costs

Answer 3 of 10 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 8,891,388 – 8,069,276 = 822,112 **(1)** Award 1 mark for correct percentage change $\frac{822,112}{8,069,276}$ x 100 = 10.19% **(1)** Award 2 marks if percentage change is accurately calculated as 10.19%, even if no calculations are shown Award 1 mark if the answer given is 10.19 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of bananas is inelastic • This means that the quantity of bananas supplied is not very responsive to a change in price • The PES of bananas is inelastic because farmers cannot easily increase the production level even with a change in price • Bananas take time to grow and are primary/agricultural products. The supply is therefore dependent on factors such as the weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store bananas for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of bananas inelastic

Type MS · Minimum wage: reasons, benefits and costs

Answer 3 of 10 · Question 4 part c · 12 marks

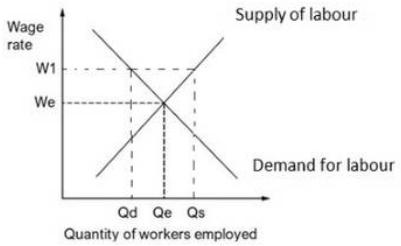
2021 JUN · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Minimum wage: reasons, benefits and costs

Answer 3 of 10 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain. Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in Spain rose from €735.90 to €900 per month in 2019 • This means that the income of employees would increase significantly and should lead to a better standard of living • It may mean employees are more motivated and could therefore lead to higher levels of productivity and so increased output for the firm • This increase in productivity may allow firms to offset the increase in wage costs • Employees would have more disposable income and so be able to spend more in the economy, allowing the revenue of firms to increase • The rise in incomes would also lead to more tax being paid and so greater revenue for the government • This could be used as part of a wider plan to help 'make Spain great again' **AO4** • However, if firms cannot afford the increase in wage costs, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be less spending in the economy and less tax revenue for the government • This could mean that not only the firms directly affected by the minimum wage increase are worse off, but also other firms and their employees if there is less demand for goods and services • It may depend on elasticity of demand for goods sold, whether firms can increase prices and/or whether an increase in productivity results • It may depend on the number of low paid workers affected by the minimum wage increase and/ or the size of the increase in minimum wage • As there has only been a small increase in the minimum wage in each of the previous nine years [from €633.30 to €735.90 (16.2%) in total] firms may not be able to afford a larger increase • In the short term it may be more difficult for firms to cover the higher wage costs but this may be easier in the long term if the economy has been boosted by the overall effects of the increase

Type MS · Minimum wage: reasons, benefits and costs

Answer 3 of 10 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increase in female participation A is not correct because this would lead to a decrease in the supply of labour B is not correct because this would lead to a decrease in the supply of labour D is not correct because this would lead to a decrease in the supply of labour	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** Niche A is not correct because this is where there is one dominant seller in the market B is not correct because this relates to the demand and supply of labour D is not correct because this does not relate to manufacturing to customer requirements	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 000 + $115 000 (1) Award 1 mark for correct total variable costs = $127 000 (1) Award 2 marks if total variable costs are correctly calculated as $127 000, even if no calculations are shown Award 1 mark if the answer given is 127 000 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition Lowest legal amount paid to employees Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason There are finite/limited resources **(1)** therefore demand for resources is greater than the supply of them **(1)** Accept any other appropriate response.	**(2)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price decrease would increase quantity demanded **(1)**. A decrease from $2.32 to $2.22 results in more units **(1)** because it becomes more competitive compared to substitutes **(1)** • A price increase would decrease quantity demanded **(1)**. An increase from $2.32 to $2.42 results in fewer units **(1)** because there would be a movement along the demand curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • An oligopoly is where there are a few dominant firms, such as Vodacom, Airtel and Tigo (which have 86% of the market between them) • As a result of their dominance, these firms may be able to benefit from economies of scale and therefore enjoy lower average costs. They may pass these lower costs on to consumers in the form of lower prices • Firms like Vodacom may also be able to afford to use profits for research and development (R&D) which may lead to a better quality telecoms services for consumers • The firms in the telecoms oligopoly may try to compete in price wars and keeping prices low would benefit the consumer • They may also offer additional services to consumers who have subscribed to their networks in an attempt to gain market share from competitors **AO4** • However, if the telecoms firms have high costs due to competing via non-price competition such as advertising, they may not be able to offer low prices to consumers • Such costs may also lead to fewer firms in the market. For example Smart Telecoms had to leave the market because it could not compete with the larger firms • This would mean there are fewer firms left to compete for market share and therefore there would be less choice available for consumers • Even the successful small firms run the risk of being taken over or crowded out by dominant telecoms providers. This may be the case with the merger between Tigo and Zantel • This may increase the barriers to entry as it will be difficult for new firms to enter the market to compete with the successful, dominant firms, meaning even less choice for consumers • The firms in the oligopoly may collude in order to restrict choice and/or price competition, again causing a disadvantage to consumers

Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Minimum wage: reasons, benefits and costs

Answer 4 of 10 · Question 2 part e · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

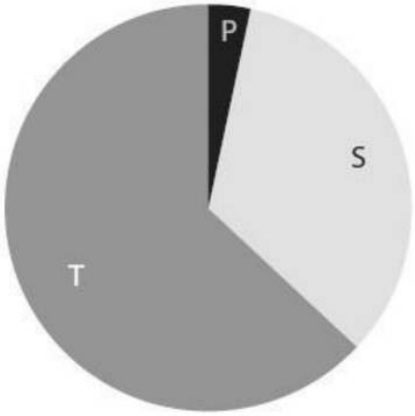
3(a)	**AO1 1 mark** The only correct answer is: **A** The joining together of two firms B is not correct because this is privatisation C is not correct because this means one firm ceases to exist D is not correct because a merger reduces competition in the market	**(1)**

Question number	Which one of the following is a reason why a government would introduce a minimum wage? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** To close the income gap between the rich and the poor A is not correct because if wages increase fewer benefits would need to be paid B is not correct because higher wages may increase motivation D is not correct because this would increase their costs and reduce their profits	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**  	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

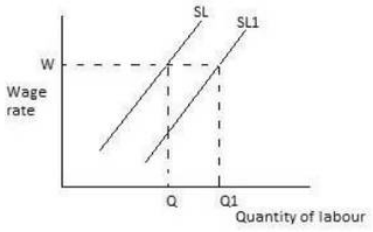
Question number	With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External costs are negative impacts on third parties • Local people and workers in the city's business district could suffer from negative externalities as a result of the tower being built • Negative externalities include noise pollution, air pollution, congestion and overcrowding • Building the tower is likely to be noisy, create dust and require an excess of vehicles in the area • This means that building the tower is likely to lead to negative externalities • Neither the producers nor the consumers would be the ones suffering from the pollution and congestion

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Migration occurs when a person moves to live in a foreign country • There will be an increase the supply of labour, which shifts the labour supply curve to the right, when there is an increase in the number of workers entering a country and available for employment • Possible use of a diagram  • This could increase in the number of workers employed in a city such as Dubai and will reduce labour shortages in particular sectors • The fact that 2 million migrants (80% of the population) live in Dubai, providing services such as construction, highlights the large contribution migration makes towards the supply of labour in the city • This should help Dubai's economy to be more productive and expand **AO4** • However, the majority of immigrants work in construction, cleaning and care services • This means there may not be a large increase in the supply of labour in other sectors of the economy • The migrant workers may not have the right skills to fill all labour shortages • The supply of labour may only be short-term if migrants return to their home countries after a short period of time. This may make migration less effective as a way to increase the supply of labour • Increasing the retirement age, reducing the school-leaving age or making it easier for females to participate in the workforce may be more effective ways to increase the supply of labour • This is because these methods may make it more effective to keep a long-term supply of labour as well as to recruit workers into jobs in other sectors of the economy than those such as construction, cleaning and care services

Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Minimum wage: reasons, benefits and costs

Answer 5 of 10 · Question 3 part b · 1 mark

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Calculate the total revenue for the product that has a price elasticity of demand (PED) which is inelastic. You are advised to show your working. **Answer**	Mark

Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

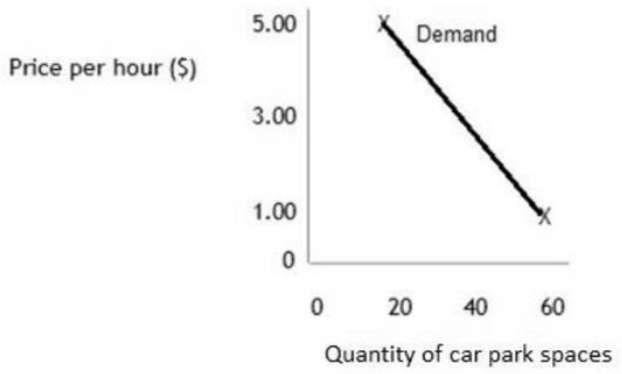
3(a)	**AO1 1 mark** The only correct answer is: **D** government intervention A is not correct because a minimum wage is not a resource used to produce goods and services B is not correct because these are things expected to be true although there is no definite proof C is not correct because a minimum wage does not have reduced average costs due to expansion	**(1)**

Question number	Which **one** of the following is likely to lead to an increase in the productivity of capital? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in technological advances A is not correct because this would lead to a decrease in productivity B is not correct because this may hinder use of capital D is not correct because this is not related to productivity	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a downward sloping demand curve, labelled Award 1 mark for plotting $5.00 at a quantity of 20 on the demand curve Award 1 mark for plotting $1.00 at a quantity of 60 on the demand curve  	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • A decrease in the ability to produce both capital and consumer goods is shown in Figure 4 due to the inward shift of the PPF • Negative economic growth would allow this to happen as it is possible there will have been a depletion of resources over time/a scarcity of resources (where an economy runs out of oil or coal) • It could also occur if skilled workers are attracted to opportunities in other countries • With the decrease in resources and/or emigration of skilled labour, it would be possible for production of both capital and consumer goods to decrease without an increase in the other

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Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of subscribers will be 59 million, meaning that the unit costs are reduced because costs are spread over a larger number of customers • By bringing together technology from both WarnerMedia and Discovery, broadcasting would be more efficient • This means that Warner Bros. Discovery would be making better use of resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers of the numerous channels, such as CNN news channel, could oversee the whole network, rather than having separate people in charge of each one • (Long-run) average costs could also be reduced as Warner Bros. Discovery could be advertised as one, therefore spreading the marketing costs and allowing marketing economies to take place • As the company is so large, with a value of $150bn, financial economies are likely because it would be able to get access to money at lower interest rates than a smaller firm **AO4** • However, some employees may be unhappy as a result of the merger, meaning they may not work as efficiently and diseconomies of scale may occur • Some employees may even leave if they are not able to adapt to any changes brought about due to the merger. This is likely to increase (long-run) average costs if Warner Bros. Discovery needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the broadcaster relies on technology being used effectively, this may lead to diseconomies of scale • The media company may have already reached the most efficient output and the lowest point on the (long-run) average cost curve • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years

Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

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Type MS · Minimum wage: reasons, benefits and costs

Answer 6 of 10 · Question 3 part a · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working. **Answer**	**Mark**

Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

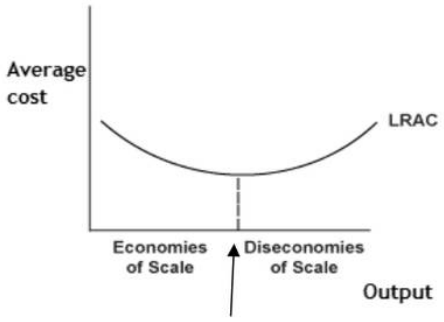
3(a)	**AO1 1 mark** The only correct answer is: **B** To sell a niche product A is not correct because bureaucracy should be reduced C is not correct because risk cannot easily be spread D is not correct because there is less chance of taking over competitors	**(1)**

Question number	The introduction of a minimum wage above the equilibrium wage in a labour market, is most likely to: **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **D** decrease quantity of labour demanded and increase the wage rate A is not correct because employers are less likely to demand labour and the wage rate will be higher than the equilibrium B is not correct because employers are less likely to demand labour C is not correct because the wage rate will be higher than the equilibrium	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for economies of scale labelled Award 1 mark for diseconomies of scale labelled Award 1 mark for point at which firm is most efficient labelled  Most efficient point	(3)

Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Education, such as the system provided in Japan would provide an external benefit to people who do not receive the education themselves • This is because students may do socially useful or highly skilled jobs in the future • Therefore, productivity will be higher and so will the standard of living for society, in a country such as Japan • As a result, future generations may benefit from the consumption of education by others, even if they did not receive (a high standard of) education themselves

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Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising sales/revenue • Simona prioritises caring for her customers by charging low prices and being flexible with appointment times • This flexibility has led to problems with provision of hairdressing services due to delays and issues getting an appointment • Therefore, demand has reduced and revenue has fallen • This means that Simona has been unable to meet the loan repayments to her bank and may risk her hairdressing business failing • As a result, it may be a good idea to make these changes in order to increase revenue for the hairdressing business • This may help with financial difficulties as well as reduce the late/cancelled appointments **AO4** • However, some customers may visit the hairdressers due to the low prices • The customers may also welcome the flexibility of the services offered, encouraging them to return and giving Simona's business a good reputation • This may mean a price increase and/or fee for late arrivals/cancellations could reduce custom • Therefore, making these changes may lead to further financial problems rather than resolving them • It may be more important to focus on caring for customers by managing appointment times more carefully • As a result, Simona may be able to continue to prioritise caring for customers but at the same time solve some of her financial issues

Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

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Type MS · Minimum wage: reasons, benefits and costs

Answer 7 of 10 · Question 3 part b · 1 mark

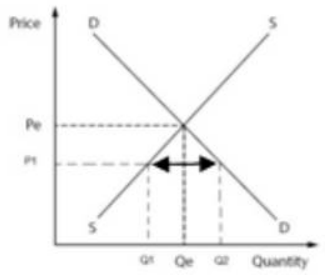
2023 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working. **Answer**	Mark

Type MS · Minimum wage: reasons, benefits and costs

Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

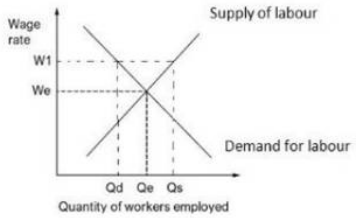
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Minimum wage: reasons, benefits and costs

Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

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Answer 8 of 10 · Question 2 part g · 9 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	**Mark**

Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

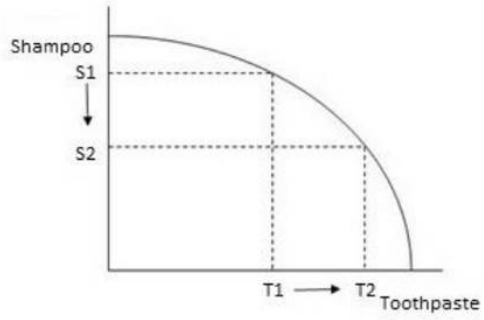
3(a)	**AO1 1 mark** The only correct answer is: **D** Decreased incomes A is not correct because this would increase demand B is not correct because this would increase supply C is not correct because this would reduce supply	**(1)**

Question number	Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of -1.3? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Inferior B is not correct because unitary goods have a numerical value equal to 1 or -1 C is not correct because this would have a high positive numerical value D is not correct because this would have a positive numerical value	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility curve (PPC) with correctly labelled axes Award 1 mark for showing a decrease in shampoo on the PPC Award 1 mark for showing an increase in toothpaste on the PPC  	(3)

Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The minimum wage in Barbados increased by $2.25 (36%) per hour • This means that a higher income is received by people who may have struggled with basic needs if the national minimum wage was left at $6.25/hour • A 36% increase could be quite a substantial increase in the wages earned for some people in Barbados • Therefore, more workers would be encouraged to work because they can enjoy a higher standard of living • Thus, there is likely to be an increase in the quantity of labour supplied

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Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Quality of labour may increase as a result of education because workers would be able to develop skills with which they could become more efficient in the tasks needed to produce goods and services in the workplace • Therefore, workers are likely to be able to produce more goods and services in a shorter period of time, leading to lower costs of production for firms • This increase in productivity means that a firm may be able to enjoy higher profits due to lower costs, as well as a possible increase in revenue, if more products are available to sell • An increase in immigration may lead to an increase in the quantity and quality of labour supplied • This may result in increased competition between workers to provide the most efficient labour to firms in order to reduce their costs of production • This may mean that some workers may aim to increase their education to become more productive **AO4** • However, it takes time for education to become effective as periods of study need to be completed before being used in the workplace • This means that education may only impact productivity at a later date, making it difficult to measure its impact • Skilled workers may emigrate, taking their ability to increase efficiency for a firm with them • Immigration which increases the supply of skilled labour may lead to a reduction in wages, potentially demotivating workers and discouraging productivity • Therefore, productivity may not always increase due to quality of labour, at least not in the short-run • It may depend on the country and the levels of productivity within it or on technological advances in capital or land use

Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

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Type MS · Minimum wage: reasons, benefits and costs

Answer 9 of 10 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Calculate, the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working. **Answer**	**Mark**

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

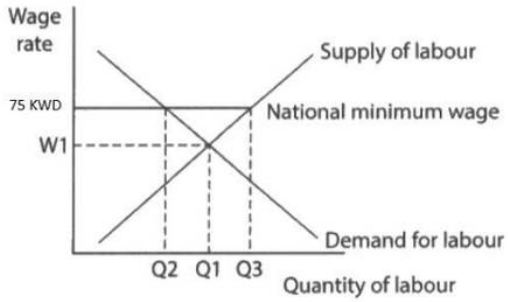
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

2025 NOV · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Minimum wage: reasons, benefits and costs

Answer 10 of 10 · Question 2 part g · 9 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	Mark